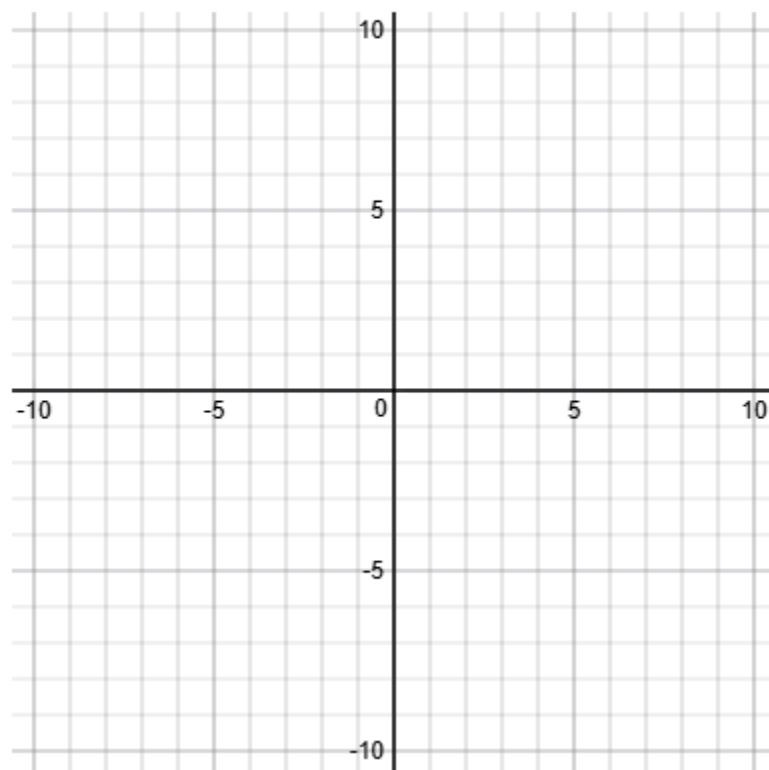


Math 1314 Lesson 25

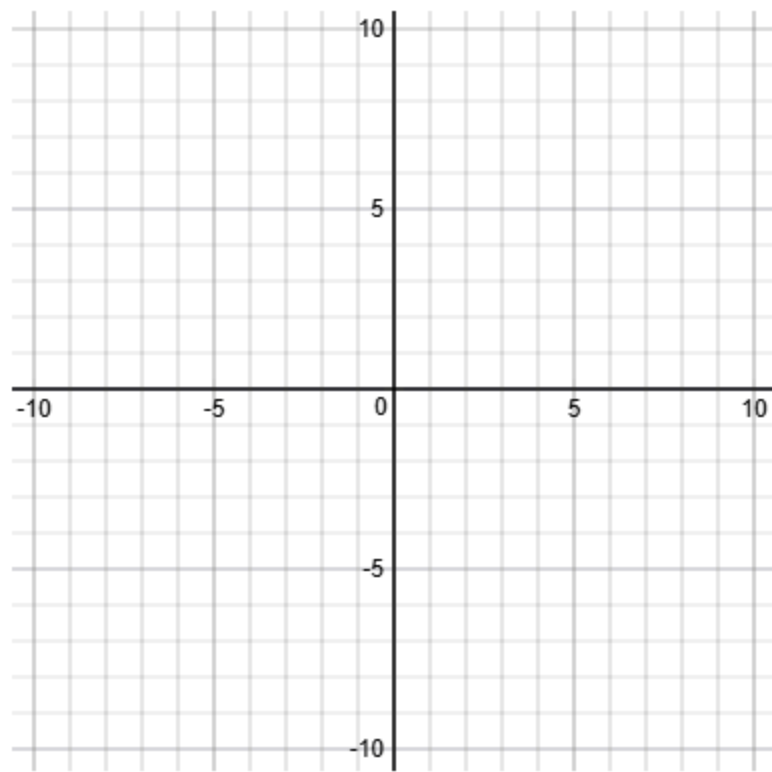
1) Graph the exponential function $f(x) = 2^x$.

x	$f(x)$
-3	?
-2	?
-1	?
0	?
1	?
2	?
3	?



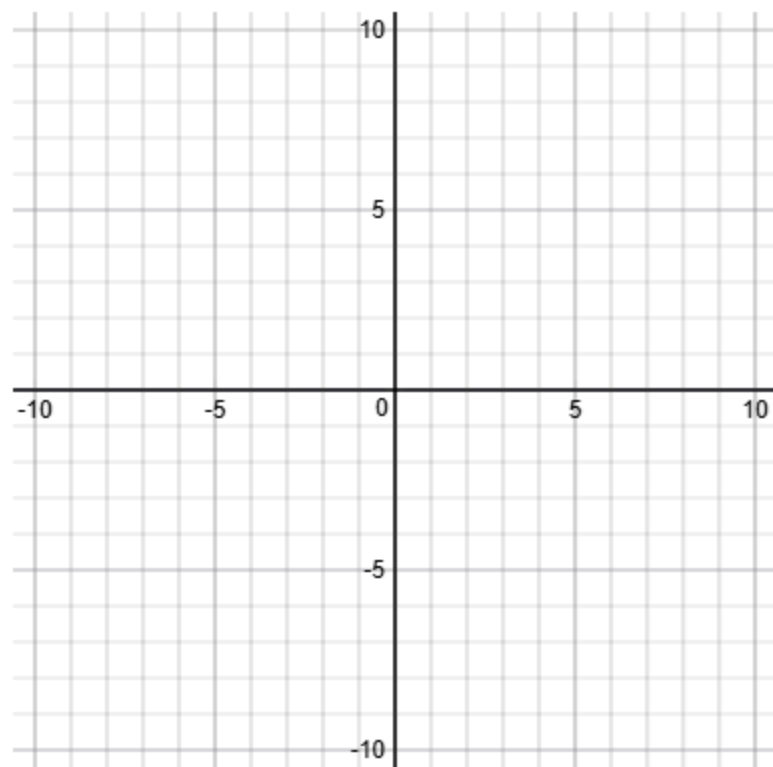
2) Graph the exponential function $f(x) = 3^x + 1$

x	$f(x)$
-3	?
-2	?
-1	?
0	?
1	?
2	?
3	?



3) Graph the exponential function $f(x) = 2^{-x} + 3$

x	$f(x)$
-3	?
-2	?
-1	?
0	?
1	?
2	?
3	?



4) Compound Interest Formula: $A = P \left(1 + \frac{r}{n} \right)^{nt}$

where A = Accumulated amount

P = Principal (amount borrowed or deposited)

r = annual percentage rate

n = number of compounding periods per year

t = number of years

Suppose you have \$12,000 to invest. You decided to invest the money for 3 years in a money market fund that earns 3% per year, compounded monthly. How much interest is earned over the three-year period.

5) Compound Interest Formula: $A = P \left(1 + \frac{r}{n} \right)^{nt}$

where A = Accumulated amount

P = Principal (amount borrowed or deposited)

r = annual percentage rate

n = number of compounding periods per year

t = number of years

Suppose you deposit \$2,000 in an account that pays 5% interest, compounded quarterly.
How much will be in the account at the end of year one.

6) Compound Interest Formula: $A = P \left(1 + \frac{r}{n} \right)^{nt}$

where A = Accumulated amount

P = Principal (amount borrowed or deposited)

r = annual percentage rate

n = number of compounding periods per year

t = number of years

Suppose you invested \$5,000 in a money market fund that earns 3% interest rate, compounded daily.

How long do you think it will take to accumulate \$7,000? This is a multiple choice question.

a) about 3 years

b) about 7 years

c) about 9 years

d) about 11 years

